IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.101

C.A.(CAA)/7(AHM)2023

Proceedings under Section 230-232

IN THE MATTER OF:

Samiksha Sarees Ltd. **.....Applicant**
Suprabhat Weaves Pvt Ltd.

.....Respondent

Order delivered on: 12/04/2023

Coram:

Mr. Praveen Gupta, Hon'ble Member (J)
Mr. Kaushalendra Kumar Singh, Hon'ble Member (T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of the order. The order is pronounced in open Court vide separate sheet.

-SD-
KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-
PRAVEEN GUPTA
MEMBER (JUDICIAL)

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
AHMEDABAD
COURT NO. 1

CA (CAA) 7/NCLT/230-232/AHM/2023

[A Company Application filed under section 230-232 of the Companies Act, 2013]

In the matter of:

Samiksha Sarees Limited
(CIN: U15400GJ1991PLC015142)
Having its registered office at:
803/2 road no. 8 GIDC Sachin,
Surat, Gujarat

.....Transferor Company

Suprabhat Weaves Private Limited
(CIN: U17200GJ2014PTC081623)
Having its registered office at:
Shop no. 219, Shreeji Textile market,
Ringroad, Surat, Gujarat, 395002

.....Transferee Company

Order reserved on 28.03.2023
Order pronounced on 12.04.2023

Coram: Praveen Gupta (Member Judicial)
Kaushalendra Kumar Singh (Member Technical)

Appearance:
Advocate Dhiren Dave appeared for the Applicant Companies

ORDER

1. This application is filed under section 230-232 of the Companies Act, 2013 (the Act). The proposed Scheme of Amalgamation (the Scheme) involves amalgamation of M/s. Samiksha Sarees Limited with M/s. Suprabhat Weaves Private Limited.

2. The registered office of both the Applicant Companies is situated in the State of Gujarat, and, hence, both the Applicant Companies are under the jurisdiction of the National Company Law Tribunal Bench at Ahmedabad.

3. By this application, the Applicant Companies are seeking dispensation of the meetings of the equity shareholders of both the Applicant Companies. They are also seeking dispensation of the meetings of unsecured creditors of the Transferee Company in respect of Scheme of Amalgamation between M/s. Samiksha Sarees Limited and M/s. Suprabhat Weaves Private Limited with effect from the appointed date i.e. 1st April, 2022 as set out in the Scheme annexed at Annexure C in accordance with sections 230 to 232 of the Act and other applicable provisions of the Act. There are no secured creditors in both the Applicant Companies. There are no unsecured creditors in the Transferor Company.

4. The proposed restructuring pursuant to this Scheme is expected, inter-alia, to result in the following benefits:

a) The amalgamation will have synergic benefits and advantages having common entity with reduced compliances.

b) The amalgamation will also result in drastic reduction of expenses with centralized management.

c) The strategically combining of resources under one roof with same management shall enhance the goodwill with additional advantage of reduction in expenditure.

5. It is submitted by the Learned Counsel that the Board of Directors of both the Applicant Companies at their respective Board meetings which were held on 09.06.2022 passed a resolution approving the proposed Scheme as placed before the respective Board. The copies of the Board Resolution for both the Applicant Companies are annexed with the application as Annexure D.

6. The Applicant Companies have filed their audited Balance Sheet as on 31.03.2022 which is placed on record as Annexure A. The Applicant Companies have also placed on record the certificates issued by the auditor certifying compliance with section 133 of the Act as Annexure I.

7. It is submitted that upon the coming into effect of the Scheme, all suits, actions and proceedings by or against the Transferor Company pending and/or arising on or before the effective date shall be continued and be enforced by or against the Transferee Company as effectually as if the same had been pending and/or arising by or against the Transferee Company.

8. It is further submitted that the Transferee Company has undertaken to have all legal or other proceedings initiated by or against the Transferor Company transferred into its name and to have the same continued, prosecuted and enforced by or against the Transferee Company.

9. It is further submitted that on the Scheme being effective, the Transferor Company shall be dissolved without winding up.

10. It is stated in the Application that there are 7 equity shareholders in the Transferor Company and they have given their consent, in writing, approving the Scheme of Amalgamation and waiving their right to convene and hold the meeting of equity shareholders of the Transferor Company. The consent affidavits of all the equity shareholders of the Transferor Company are placed on record at Annexure F. The list of equity shareholders as certified

by the Chartered Accountant is placed on record at Annexure E (Collectively). There are no secured and unsecured creditors in the Transferor Company. The certificate of Chartered Accountant dated 17.12.2022 is placed on record at Annexure G (Collectively) of the Application.

11. It is stated in the Application that there are 10 equity shareholders in the Transferee Company and they have given their consent, in writing, approving the Scheme of Amalgamation and waiving their right to convene and hold the meeting of equity shareholders of the Transferee Company. The consent affidavits of all the equity shareholders of the Transferee Company are placed on record at Annexure F. The list of equity shareholders as certified by the Chartered Accountant is placed on record at Annexure E (Collectively). There are no secured creditors in the Transferee Company. The certificate of Chartered Accountant dated 17.12.2022 is placed on record at Annexure G (Collectively) of the Application. There are 8 unsecured creditors in the Transferee Company and they have given their consent, in writing, approving the Scheme of Amalgamation and waiving their right to convene and hold the meeting of unsecured creditors of the Transferee Company. The consent affidavits of all the unsecured creditors of the Transferee Company are placed on record at Annexure H.

12. The following reliefs are prayed by the Applicant Companies;

i. To dispense with the meeting of equity shareholders of both the Applicant Companies in light of consent affidavits given by the equity shareholders of both the Applicant Companies.

ii. To dispense with the meeting of unsecured creditors of the Transferee Company in light of consent affidavits given by the unsecured creditors of the Transferee Company.

13. We have heard the Learned Counsel for the Applicant Companies and perused the material on record. Thus, we pass the following order:

i. The meetings of equity shareholders of both the Applicant Companies are hereby dispensed with in view of the consent affidavits given by the equity shareholders of both the Applicant Companies.

ii. The meetings of unsecured creditors of the Transferee Company are hereby dispensed with in view of the consent affidavits given by the unsecured creditors of the Transferor Company.

14. The Applicant Companies shall in compliance with of section 230 (5) and Rule 8 of the Companies (CAA) Rules, 2016; send a notice in Form CAA 3 along with disclosures mentioned under Rule 6 to (i) Central Government through the Regional Director, North Western Region, (ii) Registrar of Companies, (iii) concerned Income Tax Authorities, and (iv) the Official Liquidator (in case of Transferor Company) stating that the representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed Scheme of Amalgamation. The aforesaid statutory authorities, who desire to make any representation under section 230 (5), shall send the same to this Tribunal within a period of 30 days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme of Amalgamation. The said notices shall be sent forthwith by registered post or speed post or by courier or by hand delivery or by an email at the office of the authority as required under Rule 8(2) of the Companies (CAA) Rules, 2016.

15. With the above direction CA (CAA) 7 of 2023 is allowed and disposed of accordingly.

-SD-
KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-SD-
PRAVEEN GUPTA
MEMBER (JUDICIAL)

Shweta Desai –LRA